addressed.[26] However, the call went unheeded and on May 28, 2016, the day after the crowdsale was completed, tokens in The DAO (DAOs)—which were received in exchange for the ether invested at the crowdfunding—began trading on exchanges.

Less than three weeks later, on June 17, 2016, a major hack on The DAO was conducted that gained control of 3.6 million ether, one-third of the amount that had been committed to the project. The hack had nothing to do with an exchange, as had been the case with Mt. Gox and other widely publicized Bitcoin-related hacks. Instead, the flaw existed in the software of The DAO. This software was hosted on Ethereum’s blockchain, for all eyes to see, and it needed to be flawless.[27] However, as critics had pointed out, the code was far from perfect. Given the scale of assets The DAO had raised, there was significant incentive for a hacker to break in. As a result, the world’s largest crowdfunding effort and a major showcase for the capabilities of Ethereum became a bust.

Buterin and those involved with The DAO and Ethereum immediately began to address the hack. The situation was problematic, however, because Ethereum was a decentralized world computer that provided the platform for dApps to run on. However, it did not promise to audit and endorse each application. Similarly, while Apple may screen the apps that go into its App Store, it doesn’t claim responsibility for their inner workings. Core Ethereum developers were helping The DAO team. This was analogous to Apple engineers helping to fix a flailing app.